

MULUND COLLEGE OF COMMERCE (AUTONOMOUS)

Programme: School of Business

Class: SY BBA

Semester: III

Exam: Internal

Name of the Subject: AI Powered Marketing

Date: 30/08/2024

Marks: 10

Time: 20 Minutes

- N.B.**
- (1) All questions are compulsory
 - (2) Figures to the right indicate full marks.

Q.I CASE STUDY

[10 Marks]

Fashion Forward is a mid-sized retail company specializing in fast fashion. To keep up with the competition and the rapidly changing trends in the fashion industry, the company decided to integrate AI into its marketing strategies. The primary goal was to enhance customer experience, personalize marketing efforts, and optimize inventory management.

Implementation of AI:

Fashion Forward adopted several AI-powered tools:

1. Personalized Marketing: The company implemented AI-driven algorithms to analyze customer data and predict shopping behavior. This enabled them to send personalized product recommendations, targeted ads, and tailored promotions via email and social media.
2. Chatbots for Customer Service: AI-powered chatbots were deployed on Fashion Forward's website to assist customers in real-time, answering questions, providing fashion advice, and helping with order tracking.
3. Demand Forecasting: AI was used to analyze historical sales data, social media trends, and external factors (like weather or economic indicators) to predict future demand. This helped Fashion Forward manage inventory more effectively, reducing overstock and stockouts.
4. Visual Search: Fashion Forward integrated an AI-powered visual search feature into their mobile app, allowing customers to upload pictures of outfits they liked and find similar items in the store's catalog.

Attributes of Fashion Forward

1. Enhanced Customer Experience: The personalized marketing efforts led to higher customer satisfaction as shoppers felt that the brand understood their preferences. This resulted in increased customer loyalty and repeat purchases.
2. Increased Sales: By targeting customers with personalized promotions and recommendations, Fashion Forward saw a significant boost in conversion rates. The AI-powered suggestions were often more relevant to customers, leading to higher sales.
3. Optimized Inventory Management: With accurate demand forecasting, Fashion Forward reduced waste and minimized the occurrence of stockouts. This led to cost savings and more efficient operations.
4. Improved Customer Engagement: The AI chatbots provided 24/7 customer support, leading to faster resolution of queries and enhancing overall customer engagement. The visual search feature also created a more interactive and engaging shopping experience.
5. Data Privacy Concerns: Collecting and analysing customer data raised concerns about privacy. Fashion Forward had to invest in robust data protection measures and ensure compliance with regulations like GDPR (General Data Protection Regulation)

6. Implementation Costs: The initial investment in AI technologies was substantial, including the cost of acquiring the tools, training staff, and integrating these systems into existing workflows.

7. Data Quality Issues: The effectiveness of AI depends heavily on the quality of the data. Fashion Forward initially faced challenges with incomplete or inaccurate data, which affected the performance of AI algorithms.

8. Resistance to Change: Some employees were resistant to adopting AI-driven processes, fearing job displacement or being overwhelmed by the new technology. Fashion Forward had to invest in training and change management to address these concerns.

Questions:

Q.1) What were the key benefits Fashion Forward experienced by integrating AI into their marketing strategies?

Q.2) Identify and explain the major challenges Fashion Forward faced during the implementation of AI?